Major Colombian and Panamanian Banks — Peer Review

Credit and Funding Costs, Challenging Operating Environment Posing Headwinds for Banks

Ratings Colombia

Bank	IDR/Rating Outlook	Viability Rating	National Long-Term Rating/Outlook
Bancolombia S.A.	BB+/Negative	bb+	AAA(col)/Stable
Banco Davivienda S.A.	BB+/Negative	bb+	AAA(col)/Stable
Banco de Bogotá S.A.	BB+/Negative	bb+	N.A.
BBVA Colombia S.A.	BBB–/Negative	bb+	AAA(col)/Stable
Banco de Occidente S.A.	BB+/Negative	bb+	AAA(col)/Stable

Ratings Panama

Bank	IDR/Rating Outlook	Viability Rating	National Long-Term Rating/Outlook
Banco General S.A.	BBB–/Stable	bbb–	N.A.
Banco Nacional de Panama	BB+/Stable	bb+	AAA(pan)/Stable
Banistmo S.A.	BB+/Negative	bb	AA+(pan)/Negative
Caja de Ahorros	BB+/Stable	bb–	AAA(pan)/Stable
Multibank, Inc.	BB+/Negative	bb–	AA+(pan)/Negative
Global Bank Corporation	BB/Stable	bb	AA(pan)/Stable

IDR – Issuer Default Rating. N.A. – Not available.
Source: Fitch Ratings

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This peer review focuses on large Colombian and Panamanian banks whose operations are centered primarily on the local market. Notwithstanding divergent markets and characteristics, the operating environments (OEs) of both banking sectors are comparable, in the 'bb' category.

For the Colombian system, improved economic growth, slightly declining albeit elevated inflation and moderately reduced interest rates were signs of recovery in late 2024, evidenced by a stable net interest margin (NIM) and month-on-month recovery in profitability. The major banks displayed mixed results, with increased credit demand for most banks while grappling with deteriorating asset quality and declining net income-to-asset ratios amid the persistent OE challenges.

Factors supporting Viability Ratings (VRs) of the five major Colombian banks — Bancolombia S.A. (Bancolombia), Banco Davivienda S.A. (Davivienda), Banco de Bogotá S.A. (Bogotá), BBVA Colombia S.A. (BBVA Colombia) and Banco de Occidente S.A. (Occidente) — should improve in 2025. As such, they remain in the assigned score with recovering credit growth anticipated due to projected higher consumption and improving investment conditions stemming from lower inflation and less restrictive monetary policy.

These banks' VRs and Issuer Default Ratings (IDRs) are also sensitive to a negative sovereign rating action. This is reflected in Fitch Ratings' Colombian sovereign Rating Outlook review from March 2025, which impacted the IDRs of Colombia's largest banks and select Central American subsidiaries. At YE24, their asset market shares ranged from 7% to 26% of the Colombian banking system and combined represented over two thirds of system assets. All five above-mentioned entities are universal banks, with total assets ranging between USD17.7 billion and USD84.4 billion as of December 2024.

Conversely, the challenges confronting the Panamanian system have been gradually easing, with improving credit growth and asset quality coupled with profitability metrics that are outperforming expectations. These improved conditions contribute significantly to the stabilizing OE outlook, in line with easing challenges from high financing costs and persistent loan quality pressure. Primary lending sectors for both private and state-owned banks either improved or maintained stable asset quality in 2024.

The Panamanian peer group comprises six banks whose operations are primarily focused on the local market. Their ratings were reviewed between October 2024 and May 2025. The peers are Banco General S.A. (General), Banco Nacional de Panama (Nacional), Banistmo S.A. (Banistmo), Caja de Ahorros (Caja de Ahorros), Multibank, Inc. (Multibank) and Global Bank Corporation (Global, or GBC). As of December 2024, these banks registered around 65% of total Panamanian banking system assets, ranging from USD5.1 billion to USD19.4 billion.

Related Research

Fitch Revises Colombia's Outlook to Negative; Affirms IDR at 'BB+' (March 2025)

Fitch Affirms Panama at 'BB+'; Outlook Stable (December 2024)

Latin American Banks Outlook 2025 (December 2024)

Analysts



Andres Marquez
+57 601 241 3253
andres.marquez@fitchratings.com

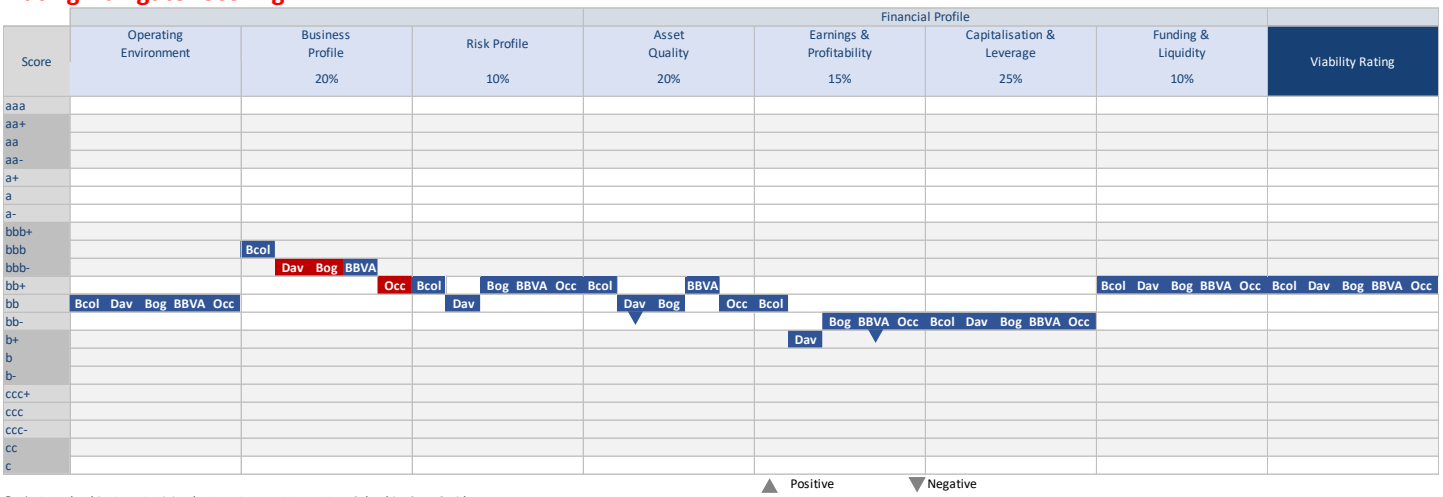


Daniela Gantiva
+57 601 241 3228
daniela.gantiva@fitchratings.com



Hernán Hernández
+57 601 241 3235
hernandario.hernandez@fitchratings.com

Rating Navigator Scoring



Bcol – Bancolombia. Dav – Davivienda. Bog – Bogota. BBVA – BBVA Colombia. Occ – Occidente.
Source: Fitch Ratings

Following the Colombian sovereign and correspondent review on the largest Colombian banks, Banistmo and Multibank were reviewed in March 2025, to reflect the impact of the rating actions on their respective parents. Their VRs were subsequently reviewed in May 2025.

Fitch revised Panama's banking sector outlook to 'neutral' for 2025, from 'deteriorating' in 2024, forecasting economic recovery and credit growth amid improving asset quality and lower interest rates.

Operating Environment

Colombia

Fitch believes the OE for Colombian banks will gradually recover and stay neutral in 2025, with credit growth improving yet still below pre-pandemic levels and growth potential despite persistent macroeconomic challenges fueled by the political climate and government reforms. Reduced inflation and a more accommodative monetary policy are projected to boost consumption and investment, enhancing conditions for interest rate-sensitive sectors such as construction.

Fitch's OE assessment for Colombian banks is unchanged despite the Negative Rating Outlook on the sovereign as of March 6, 2025. This Rating Outlook is mostly driven by worsening fiscal and public debt dynamics but does not necessarily reflect weaker economic activity or any other material headwind to the banks' operating conditions.

Although funding and credit expenses declined, the largest banks' NIMs may be affected by lower interest rates given their asset-sensitive tendencies. Fitch expects core financial metrics to generally align with these banks' respective credit and risk profiles, either maintaining stability or improving slightly.

Panama

Fitch adjusted its OE outlook for Panamanian banks to stable from negative in October 2024, maintaining the OE assessment at 'bb+'. The challenges faced by the Panamanian banking system have been gradually diminishing, with credit growth, asset quality and profitability exceeding expectations. Improved business conditions are contributing significantly toward stabilization of the OE outlook alongside reduced challenges from high financing costs and ongoing loan quality pressure.

We anticipate a re-acceleration in Panama's real GDP growth to 4.0% in 2025 and 4.5% in 2026, following an upward revision to 2.9% from 1.5% in 2024. The main lending sectors for both private and state-owned banks either improved or sustained stable asset quality in 2024. Recovering GDP growth in 2025 is expected to support credit growth, although Panamanian banks will likely continue to prioritize asset quality and financial profile stability.

Financial Ratios

Colombia

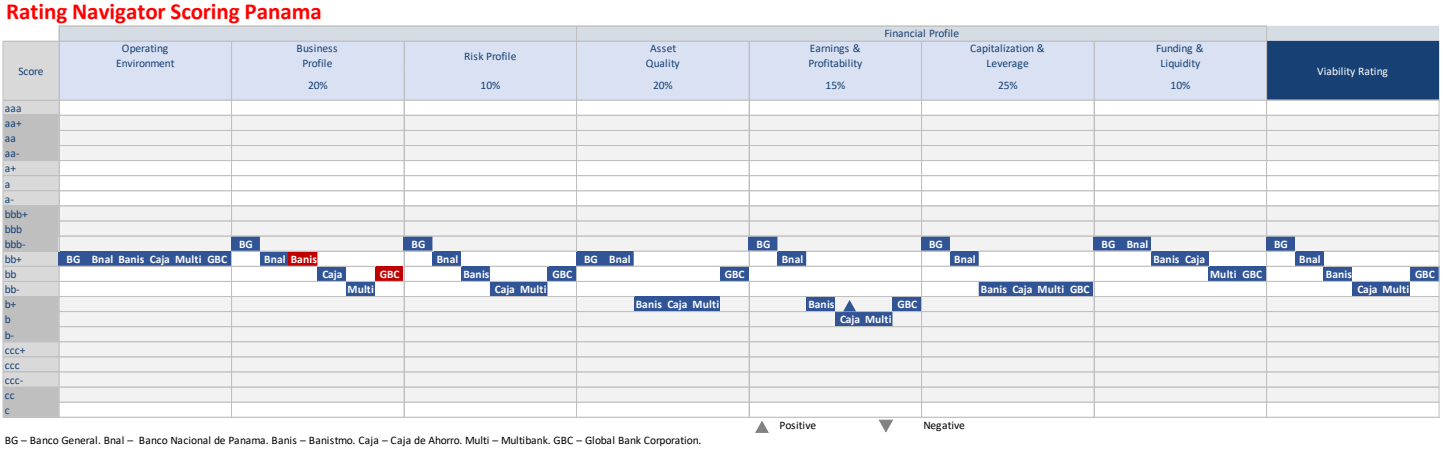
Key financial ratios stabilized in 2024 for most banks due to improved macroeconomic conditions, including lower inflation and less restrictive monetary policy, which should boost consumption and investment.

The Colombian banking sector outlook is neutral for 2025, with recovering credit growth anticipated despite macroeconomic challenges involving the political environment and government reforms. A recent agreement between the Colombian government and local banks to target credit toward strategic economic sectors should further support expected loan growth. Funding and credit costs are decreasing, even though lower interest rates could impact the larger banks' NIMs on the asset side.

The five largest Colombian banks' Rating Outlooks are Negative, following the March 6, 2025 Rating Outlook revision on the sovereign. The respective Negative Rating Outlooks on the banks' IDRs reflect the fact that these banks are constrained by the sovereign's ratings, based on their intrinsic credit profiles. The ratings are highly influenced by the OE and robust company profiles due to their large franchises and diversified business models.

Fitch anticipates core financial metrics for these banks will continue to generally align with their respective credit risk profiles. These metrics should remain stable or improve slightly after withstanding headwinds.

Rating Navigator Scoring Panama



BG – Banco General. Bnal – Banco Nacional de Panama. Banis – Banistmo. Caja – Caja de Ahorro. Multi – Multibank. GBC – Global Bank Corporation.
Source: Fitch Ratings

Panama

Notwithstanding the economic slowdown, rising funding costs and pressures from restructured loans in 2024, Panamanian banks have shown resilience through improved profitability and asset quality. At the same time, declining interest rates and sustained demand in traditional lending segments, such as mortgage, commercial, services and consumer loans, are expected to drive credit growth beyond expectations for a country with high banking penetration.

The Rating Outlooks of General, Nacional, Caja de Ahorros and Global are Stable. Global's Rating Outlook was revised to Stable from Negative in October 2024, reflecting controlled asset quality performance and improved capitalization in the preceding months. Fitch expects these trends to continue through the ratings horizon, as the stable banking sector OE supports GBC's resilient financial performance.

Conversely, Banistmo's and Multibank's Rating Outlooks were revised to Negative from Stable in March 2025, following the Colombian sovereign rating action, as these banks' ratings mirror the ratings on their respective parents, Grupo Cibest and Bogotá.

Implied Viability Ratings

Colombia

Bancolombia's IDR is determined by its VR and aligned with the implied VR. This considers a robust company profile underpinned by its leading market share in the Colombian market and its regional presence in Central America.

Fitch believes the business profiles of Davivienda, BBVA, Bogotá and Occidente will positively influence their financial metrics in the medium term; this is due to their respective business models, group benefits, market position and shareholder support, with these factors positively adjusted in their current VRs.

Additionally, Occidente's VR reflects Fitch's view that its core metrics (earnings and profitability) may improve due to heightened efficiency and reduced interest expense. Additionally, loan impairment charges (LICs) relative to pre-impairment operating profit could decrease further if asset quality continues to improve.

Meanwhile, BBVA Colombia's VR reflects the capital flexibility and ordinary support it would receive from its parent, Banco Bilbao Vizcaya Argentaria S.A. (BBVA S.A.; BBB+/Positive), if required.

The consistent business profiles of Davivienda, Occidente and Bogotá highly influence their respective VRs.

Panama

VRs drive the IDRs for General and Global, showcasing their independent viability based on financial strength, effective management and strategy, resilience to economic conditions, liquidity and market access. For Banistmo and Multibank, shareholder support drives their IDRs and respective Outlooks, while the IDRs for Nacional and Caja de Ahorros are influenced by government support.

The VRs for all banks in the peer group reflect improvement in the OE and sector outlook. The sovereign rating affirmation on Dec. 17, 2024 was supported by high per capita GDP, low inflation and macro-financial stability anchored by dollarization, as well as robust medium-term growth prospects focused on logistical activities and the Panama Canal as a major strategic asset.

General's IDR and VR are one notch above the sovereign rating, driven by its superior loss-absorption capacity, stable funding and low sovereign exposure. In contrast, the financial profiles of Caja de Ahorros, Multibank, Banistmo and Global are more modest due to their smaller scales of operation, a more limited customer base and less income diversification, resulting in implied VRs of 'bb' or 'bb–'. Additionally, Global's and Banistmo's consistent business profiles highly influence their respective VRs.

Business Profiles

Colombia

The banks are market leaders with robust business profiles that have remained relatively stable across various cycles. They are also a part of leading financial groups both domestically and internationally. Fitch rates business profiles at 'bbb' for Bancolombia; 'bbb–' for Bogotá, Davivienda and BBVA Colombia; and 'bb+' for Occidente. These assessments reflect the respective banks' leading franchises in the local financial market and significant Central American operations, particularly for Bancolombia and Davivienda.

These entities are universal banks, offering a wide array of services and benefiting from moderate risk appetites, diversified loan portfolios and recurrent fee income.

Bancolombia, Davivienda and BBVA Colombia have stronger footprints in retail banking, with top market shares in mortgage and consumer lending.

Meanwhile, Bogotá and Occidente are Grupo Aval's largest and second largest subsidiaries, respectively. They are more focused on corporate and commercial lending, which accounted for about 67% of their gross loans in 2024.

Panama

As of YE24, the Panamanian peer group held a combined market share of around 65% of local loans. Their aggregate loan portfolio is well balanced between retail and wholesale loans. Their strong market positions and diversified business mixes have mostly led to robust local franchises and close customer relationships, in turn enhancing their business profiles.

Multibank (bb–), Global (bb+) and Banistmo (bb+) maintain a balanced focus on corporate and retail loans. In contrast, Caja de Ahorros (bb) holds a significant position in local housing finance, capturing a 12.9% market share in the local mortgage sector as of December 2024.

Meanwhile, General's (bbb–) diversified business model ensures recurring and stable revenues over time. This is attributable to its extensive residential mortgage portfolio, coupled with its active involvement in corporate and commercial lending across various economic sectors, which fosters long-term customer relationships. Conversely, Nacional's (bb+) business profile is linked closely to its public status, supported by its political roles and the advantages these roles confer on the bank's performance.

Additionally, Fitch believes the market positions or group benefits of General, Caja de Ahorros, Multibank and Global offer sustainable long-term prospects, supporting positive adjustments on their respective business profile assessments.

Risk Profiles

Colombia

Fitch assesses the risk profiles of Bancolombia, Bogotá and Occidente at 'bb+'. As comprehensive financial institutions with significant footholds across all sectors and regions, these leading Colombian banks maintain prudent credit policies and meticulous underwriting processes. From Fitch's perspective, these banks gain from robust systems and procedures that have demonstrated efficacy during times of market volatility, as well as healthy loan growth, ranging between 5.0% and 6.2%.

Macroeconomic conditions in 2022 and 2023 have influenced Davivienda's 'bb' risk profile, as reflected in its asset quality deterioration. Nevertheless, the bank's risk management and credit strategy adjustments have led to a pattern of favorable asset performance, accompanied by improved asset quality and lower provision requirements.

In addition, BBVA Colombia's risk management framework seamlessly aligns with its parent company, adhering to all of BBVA's worldwide risk management guidelines. Guiding the entity's risk tolerance is a global declaration encompassing key risk metrics and capital usage.

Panama

The Panamanian banks referenced in this report display varying degrees of risk appetite that align with their specific business profiles. In Fitch's view, these institutions have robust risk management frameworks, appropriate for their roles as domestic systemically important banks (with the exception of Multibank).

Additionally, Fitch views exposure to higher-risk segments such as consumer loans and middle- to low-income mortgages as moderate for most banks in this group, owing to their reasonable diversification across economic sectors and products. For 2025, risks associated with recently granted loans could increase for some banks if high credit growth is not supported by strong underwriting standards, although pressures from a potential deterioration of legacy restructured loans have eased due to these banks' effective risk controls and collection strategies.

Fitch's risk profile for General (bbb–) signals adequate capacity to meet its financial commitments, attributable to its balanced participation in retail and wholesale segments and a more conservative credit risk management approach.

At a lower level, Nacional's (bb+) risk exposure has increased due to the sovereign downgrade, notwithstanding its low-risk asset structure. The risk profiles of Banistmo and Global (bb) reflect greater loan quality pressures than peers yet align with their respective business models. As such, they have adapted controls to meet the present-day OE challenges.

The risk assessment for Caja (bb–) indicates its social and policy role in accordance with its legal mandates. For Multibank (bb–), the assessment is adjusted to reflect a significant proportion of the loan portfolio representing its total assets and a persistently high ratio of nonperforming loans (NPL).

Asset Quality

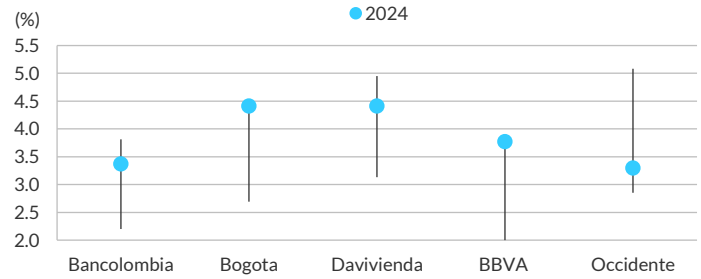
Colombia

The average asset quality for the major Colombian banks, measured by 90+ days past due loans (PDL), deteriorated to a 3.9% average as of December 2024, from 3.7% at YE23, while repayment capacities, particularly for households, stabilized amid macroeconomic normalization. Fitch expects asset quality to gradually improve and return to reasonable levels in 2025, driven by a healthier operating environment, an improved macroeconomic climate and lower interest rates, which could bolster credit demand.

We rate asset quality factors for Bancolombia and BBVA Colombia at 'bb+', with Bogotá and Occidente at 'bb' and Davivienda at 'bb' with a negative outlook. Bogotá's and Occidente's asset quality factors have been downgraded, as their respective ratios are consistently more aligned with the new assessment.

Davivienda's asset quality has been above the median for these banks. However, total PDL improved to 4.4% as of December 2024, reflecting a 269bps improvement in the consumer portfolio since peaking in December 2023. The improved asset quality suggests a more rigorous credit risk management approach, significant collection efforts and a shift toward higher credit quality borrowers.

Impaired Loans/Gross Loans

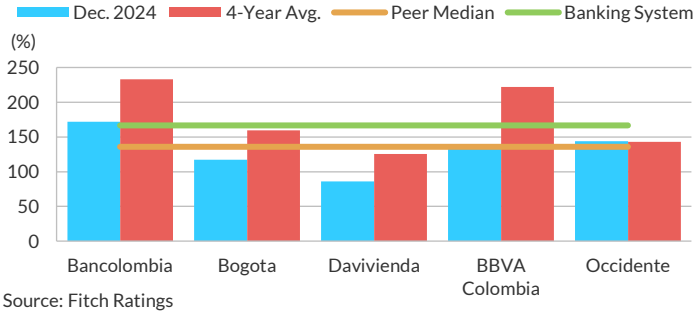


Note: Vertical lines represent minimum to maximum from 2020 to 2024.
Source: Fitch Ratings

Loan-loss reserve coverage as of YE23 fell below four-year averages for the banks referenced in this peer review excluding Occidente, which has marginally increased such levels close to the peer median. Reserves at Davivienda and Bogotá were below the 136.0% median for major Colombian banks, while coverage at Bancolombia is close to the 172.2% median for the local banking system as of December 2024. We expect loan loss reserve coverage to remain at its current levels in the medium term.

Loan Loss Allowances/Impaired Loans

(As of September 2024)

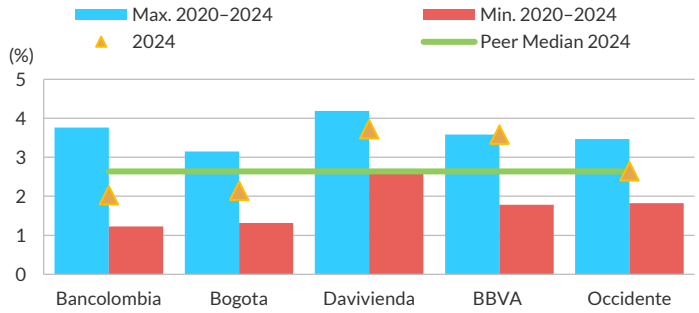


Source: Fitch Ratings

The level of credit concentration by debtor remains moderate for the large Colombian banks. Lower concentrations by geography, industry, product and obligor also support diversification of these banks' loan portfolios.

As of December 2024, the LICs-to-average gross loans ratio remained above the four-year average at YE23 for Davivienda, Occidente and BBVA Colombia. Meanwhile, Bancolombia and Bogotá remain slightly below the four-year average and the peer median. BBVA's LICs-to-average gross loans ratio reached a maximum of 3.6% as of December 2024. Fitch expects provision expenses to gradually normalize in 2025 due to expectations for economic recovery and improved credit conditions.

LICs/Average Gross Loans



Source: Fitch Ratings

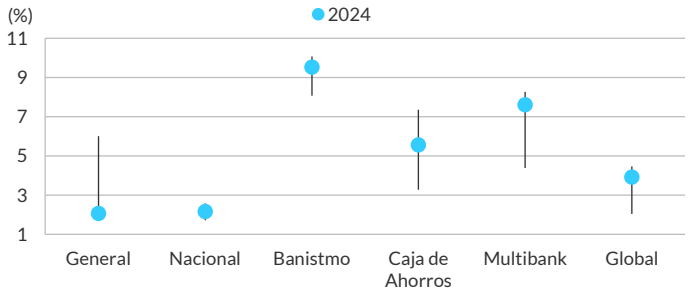
Panama

Panamanian banks have shown resilience, evidenced by improving asset quality, measured as a Stage 3 ratio, and a reduction in the PDL ratio to 2.5% as of September 2024, down from 2.6% at YE23. Nacional (bb+), General (bb+) and Global (bb) report the strongest asset quality metrics among peers. General's risk profile benefits from a conservative approach, characterized by loan growth rates below those of the broader banking system, which has supported improvement in loan quality. This is underpinned by robust underwriting standards, a high percentage of secured lending and effective collection strategies.

Nacional's asset quality ratio has been stable over the past year. Global has successfully overcome recent Stage 3 loan deterioration; however, it may encounter challenges in maintaining its current ratio over the rating horizon if restructured loans underperform, potentially leading to metrics misaligning with the existing score.

Multibank (b+), Caja de Ahorros (b+) and Banistmo (b+) have faced significant challenges involving asset quality metrics, which remain notably elevated compared to peers. Banistmo's asset quality deteriorated in 2024, supporting Fitch's negative assessment for this factor.

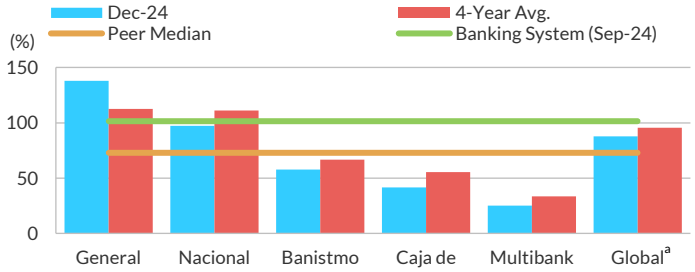
Impaired Loans/Gross Loans



Note: Vertical lines represent minimum to maximum from 2020 to 2024.
Source: Fitch Ratings

Loan loss allowance coverage for the major Panamanian banks decreased in 2024, excluding General, which maintains an adequate coverage ratio of 138.1% of its loan portfolio. Caja de Ahorros and Multibank show the lowest reserve coverage ratios due to their elevated levels of secured lending.

Loan Loss Allowances/Impaired Loans
(As of December2024)



[a]Global's fiscal year ends in June.
Source: Fitch Ratings

The peer median ratio for loan loss allowances to impaired loans as of YE24 is below that of the Panamanian banking sector (101.4%). While pressure from potential deterioration of legacy restructured loans has eased due to effective risk controls and collection strategies, risks associated with recently granted loans could rise for certain institutions in 2025. This risk could materialize if high credit growth is not buttressed by robust underwriting standards. Fitch believes this scenario could affect financial results via increased LICs, as loan loss allowances have decreased to 101.4% coverage of PDL as of 3Q24.

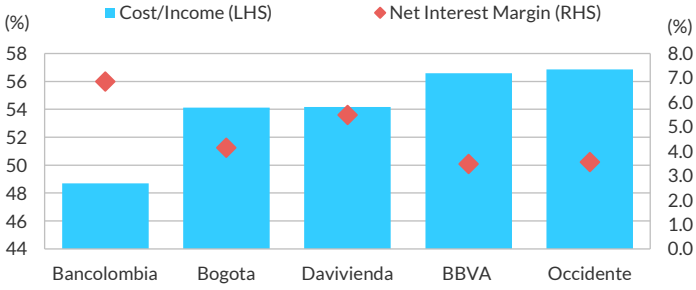
Earnings & Profitability

Colombia

As of YE24, the Colombian banking sector's profitability was stable compared to YE23, indicating a pause in the negative pattern of recent years. However, a noticeable decline in asset quality, along with lower interest rates, impacted the NIM. Additionally, lower loan impairment expenses contributed to a net income ratio that was slightly higher yoy. As a result, operating profit-to-risk-weighted assets (RWA) remained at 1.1%.

We rate the earnings and profitability factor of the five major banks between 'bb' and 'b+', with each score aligned to the respective implied rating. Davivienda's rating has been adjusted to 'b+' from 'bb–' due to its profitability performance. BBVA Colombia's score was adjusted to 'bb–' from 'bb', while the outlook was revised to negative given pressure on profitability since 2023 and the prospects of a slow recovery in profitability to historical averages.

Profitability Metrics
(As of December 2024)



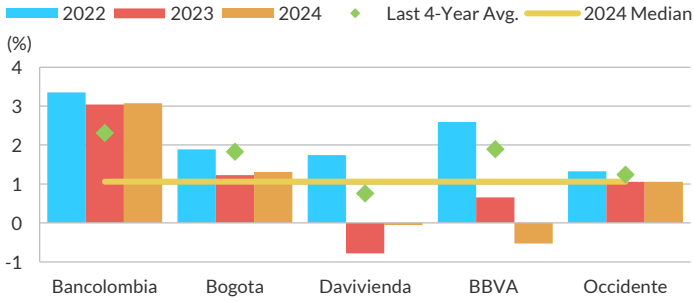
Source: Fitch Ratings

The major banks' average operating profit-to-RWA ratio declined to 1.0% as of YE24, from a four-year average of 1.6%. Bancolombia led the peer group with a higher profitability ratio at 3% as of YE24, driven by increased business volume and a higher NIM, which offset the higher RWA.

Profitability deterioration for Davivienda and BBVA Colombia outpaced that of local peers. Davivienda has exhibited a declining trend in operational losses, driven by asset quality improvement, strategically focused growth toward less riskier segments and a deliberate shift in its loan and deposit mix. BBVA Colombia reflects modest business performance, along with a significant increase in LICs due to credit quality deterioration.

Bancolombia's and Bogotá's YE24 performance remained in line with that of YE23, characterized by a lower return on interest income and modest growth in business volume. Finally, Occidente's profitability metrics indicate a shift in the negative trend observed in 2023, with the operating profit-to-RWA ratio improving to 1.2% in 2024, from 1% in 2023, supported by enhanced operational efficiency and reductions in LICs.

Operating Profit/RWA

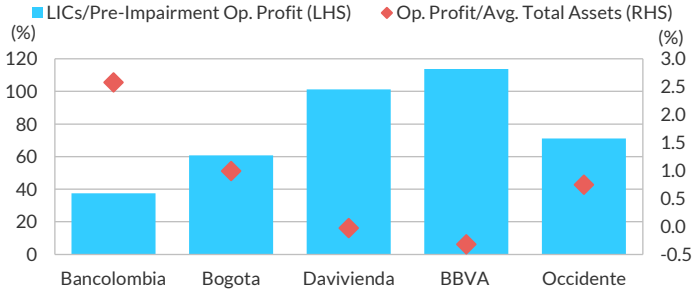


Source: Fitch Ratings

Loan loss impairments and NIMs, which remain high despite a reduction in the central bank's intervention rate, weigh on the cost of funding, affecting the largest banks' operating income. As a result, operating profit to average total assets was maintained at 0.8% as of YE24. For 2025, Fitch expects core financial metrics to remain generally commensurate with their respective credit risk profiles.

The ratio of loan and securities impairment charges to pre-impairment operating profit increased slightly, averaging around 76.8% as of December 2024, from 76.5% at YE23. Bancolombia had the lower impairment charges ratio, followed by Bogotá and Occidente, whereas BBVA Colombia and Davivienda remained above the peer average. For BBVA Colombia, elevated provisioning and credit costs impacted the bank more severely compared to peers, with LICs pushing pre-impairment operating profit to a 113.7% peak at YE24 (79.8% at YE23).

LICs and Operating Profit
(As of December 2024)



Source: Fitch Ratings

Fitch anticipates asset quality will gradually improve by YE24 and return to reasonable levels in 2025, following notable deterioration in 2023. The slight deterioration in mortgage and commercial loans is expected to reverse with the new monetary policy and rising credit demand.

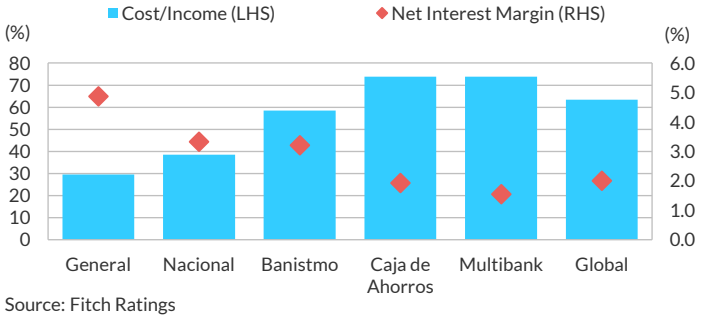
Panama

Profitability for the six banks in the peer group is rated between 'b' and 'bbb–'. This aligns with the implied rating with the exception of General, whose rating has been adjusted upward due to its historical and projected performance.

As of December 2024, General demonstrated strong profitability with lower cost-to-income ratios and robust NIMs, indicating effective cost management and strong interest income. In contrast, Caja de Ahorros, Multibank and Global face higher cost-to-income ratios, signaling cost inefficiencies, although they maintain competitive NIMs. Nacional and General fall in the middle with moderate figures in both metrics, suggesting balanced operational efficiency and interest income.

Profitability Metrics

(As of December 2024)



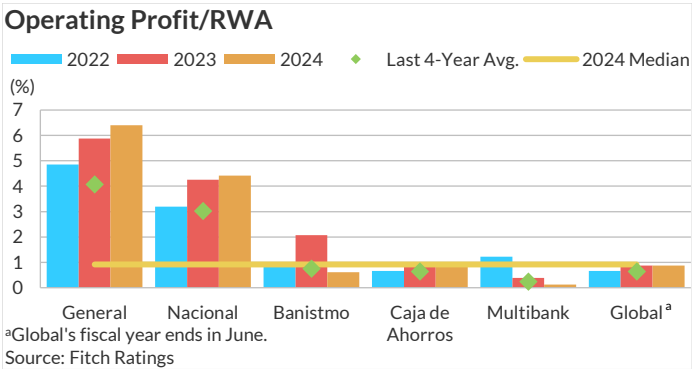
Source: Fitch Ratings

Profitability performance varied within this peer group as of YE24, with General and Nacional standing out for their high profitability. General effectively managed its NIM and achieved growing noninterest income with robust operational efficiency, translating to an operating profit-to-RWA ratio of 6.4%. Nacional's profitability surpassed most local peers, with an operating profit-to-RWA ratio of 4.5%.

In contrast, Caja de Ahorros's lower earnings reflect its social purpose, with an operating profit-to-RWA ratio of 1.0%, while Banistmo experienced volatility due to increased LICs and a stable NIM, leading to a decrease in its operating profit-to-RWA ratio to 0.6%.

Global faced challenges due to pressures on its NIM and operational efficiency, resulting in an operating profit-to-RWA ratio of 0.9%. Lastly, Multibank maintained a stable but low operating profit-to-RWA ratio of 0.1%.

Operating Profit/RWA



[a]Global's fiscal year ends in June.
Source: Fitch Ratings

General's LICs to pre-impairment operating profit demonstrates robustness. Its stage 3 loans declined, representing 2.1% of gross loans as of YE24, down from 2.2% at YE23. Similarly, PDL decreased slightly to 2.4% from 2.5%, while restructured loans fell to 6.2% from 7.0% over the same period.

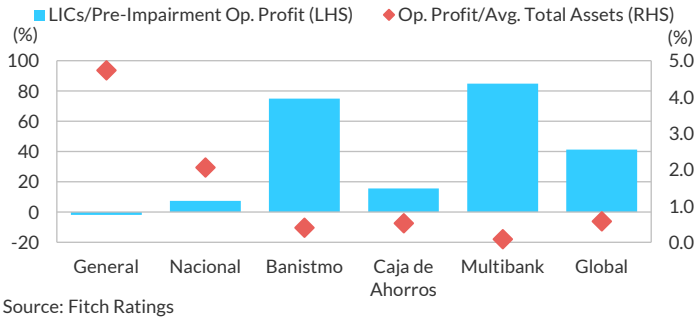
Both Nacional and Caja de Ahorros have a slightly better ratio. Nacional's asset loan metrics remained stable as of YE24, with a Stage 3 loans-to-gross loans ratio of 2.2%, increasing slightly from a 2.1% average for 2020–2023. Caja de Ahorros's asset quality score of 'b+' reflects the bank's high impairment levels compared to similarly rated peers.

Global, Banistmo and Multibank show deteriorated ratios, indicating varying levels of risk management effectiveness in handling impairments. GBC's core metric, Stage 3 loans to gross loans, reversed its increasing trend in fiscal 2024. Banistmo's asset quality deteriorated further as of YE24, supporting Fitch's negative trend for this factor. Lastly, Multibank's consistently high Stage 3 loans ratio and reserve coverage levels compare below those of peers.

General boasts a high operating profit-to-RWA profitability ratio, reflecting efficient asset utilization. Nacional follows with a slightly lower yet still high profitability rate, indicating solid financial performance. In another group, Banistmo, Caja de Ahorros, Multibank and Global diverge in performance; Global stands out with a relatively higher ratio, showing strong asset profitability, while Banistmo and Multibank have moderate metrics and Caja de Ahorros lags, indicating potential efficiency challenges.

LICs and Operating Profit

(As of December 2024)



Source: Fitch Ratings

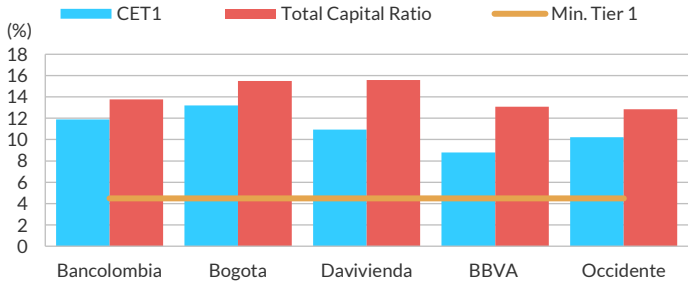
Fitch anticipates that economic expansion will rebound to 4.0% in 2025, up from 2.8% in 2024. Furthermore, improving asset quality, decreasing interest rates and consistent demand in conventional lending areas — such as mortgages, commerce, services and consumer loans — are projected to enhance credit growth.

Capitalization

Colombia

We rate capitalization and leverage for the five largest Colombian banks at 'bb–'. These banks remain adequately capitalized and above regulatory minimums, although they still lag regional peers. As of December 2024, the average common equity Tier 1 (CET1) ratio for these banks was 11.0%. The slow increase in RWA has helped to sustain capitalization amid lower profitability and, in turn, lower internal capital generation.

Regulatory Capital Ratios
(As of Dec. 2024)



Source: Fitch Ratings

As of December 2024, Bancolombia's and BBVA's CET1-to-RWA ratios improved to 11.9% and 8.8%, respectively, up from 11.4% and 8.1%, respectively, in December 2023. Bancolombia's improvement was driven by strong internal capital generation and moderate RWA growth, while BBVA's increase stemmed primarily from issuance of common shares. In contrast, Occidente's capitalization remains relatively tight, pressured by consistently higher credit growth compared to the industry and modest internal capital generation.

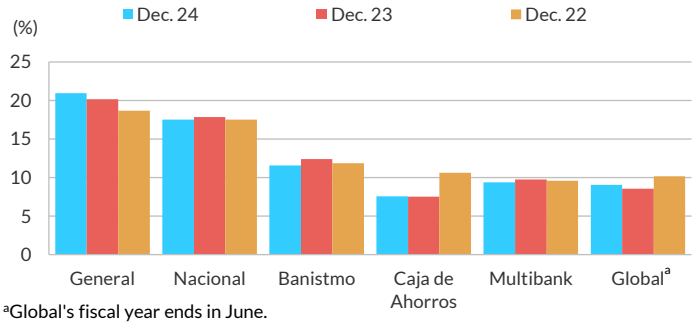
Meanwhile, Davivienda's CET1 ratio is expected to remain in line with current levels amid its recently announced integration with Scotiabank in Colombia, Costa Rica and Panama. The integration includes a USD1.5 million increase on equity for the combined entity, which will help maintain stable CET1 and regulatory capital ratios upon consolidation. Finally, Bogotá's CET1 ratio compares above local peers following a November 2023 shareholders' agreement to transfer control of Corficolombiana to Banco Popular from Grupo Aval. Fitch projects Bogotá's capital ratios will remain around 12.0%–12.5% in the medium term, still ahead of local peers.

Fitch does not anticipate significant capitalization pressures for the largest Colombian banks due to expected loan growth; as such, the metric is likely to remain adequate, at close to an 11% average.

Panama

As of December 2024, the CET1 ratio for major Panamanian banks was improved from YE23, driven by higher levels at General and Nacional. General's robust capitalization remains a key strength of its credit profile, providing significant loss absorption capacity, as reflected in its 'bbb–' rating. Meanwhile, Nacional maintained a CET1 ratio of 17.5% as of YE24, in line with YE23, along with a 'bb+' rating. Fitch expects this ratio to remain stable, supported by strong profitability, moderate growth and a consistent dividend policy. The remainder of the peer group is rated 'bb–'.

CET1 to RWA



[a]Global's fiscal year ends in June.
Source: Fitch Ratings

Banistmo has maintained moderate but consistent capitalization levels over time, with its CET1-to-RWA ratio at 11.6% as of December 2024, tracking slightly below 12.4% in 2023. In contrast, Caja de Ahorros's capitalization metrics have declined in recent years due to loan book expansion and recurrent dividend payouts. Nevertheless, Fitch believes the bank's capitalization and leverage score of 'bb–' will be sustained by ordinary support from the local government, considering its organic law and state guarantee.

Multibank exhibits a lower loss-absorption capacity compared to regional peers, although this is mitigated by potential ordinary support from its ultimate shareholder, if necessary. Conversely, GBC's management anticipates capitalization will continue to strengthen in the current fiscal year, primarily due to more dynamic internal capital generation.

Funding and Liquidity

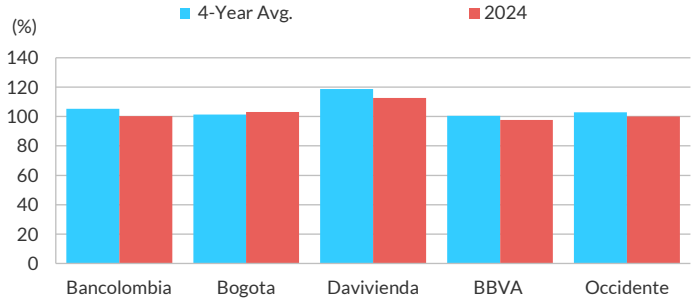
Colombia

Liquidity remains sufficient for the major Colombian banks, with deposit growth surpassing that of loans and assets. Fitch expects the banks' funding structures to continue to rely upon stable and low-cost retail deposits. Fitch also expects the loans-to-deposits core ratio to remain in line with pre-pandemic levels. Market liquidity should be sufficient to support Colombian banks' ability to withstand potential macroeconomic pressures and increasing credit demand.

Fitch scores the funding and liquidity factor for the five banks at 'bb+'. As of December 2024, loan-to-deposit ratios for this peer group ranged from around 98.0% to 108.0%, while their median loans-to-customer deposits ratio was 100.1%, in line with the preceding four-year average.

BBVA Colombia and Occidente hold the strongest funding positions among peers, with stronger loan-to-deposit ratios despite utilizing long-term market funding. Davivienda exceeded the peer average, as this bank prefers to use longer-tenor market funding, which helps to better match assets and liabilities.

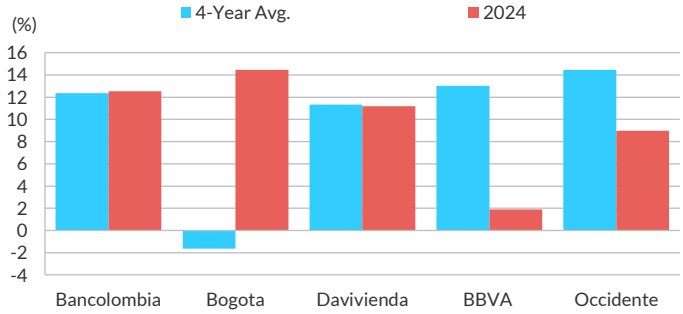
Gross Loans/Customer Deposits Ratio



Source: Fitch Ratings

Customer deposits for the five banks detailed in this review grew 9.8% on average in 2024. Davivienda, BBVA Colombia and Occidente recorded customer deposit growth below the four-year average despite the economic recovery and gradual recovery in credit demand.

Customer Deposits Growth



Source: Fitch Ratings

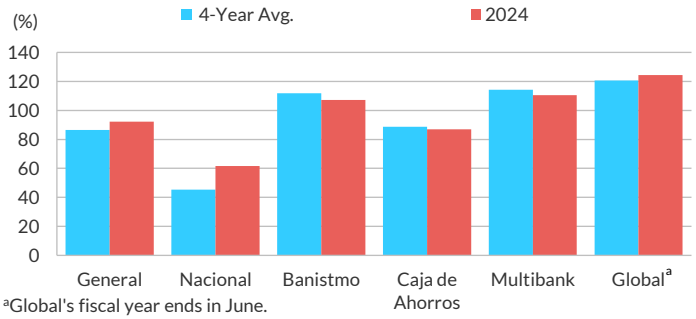
Liquidity is generally ample, with all banks reporting regulatory liquidity indicators well above required minimums. Liquidity has also remained stable in recent years. Central American subsidiaries have established exposure limits and must be self-sufficient to absorb a stress scenario.

Panama

The largest Panamanian banks' diversified funding structures underscore their robust local franchises and their access to alternative financing sources in both local and international markets, providing flexibility to navigate challenges. Customer deposits constitute their primary funding source, averaging 81.2% as of YE24, higher than the corresponding system average of 70.4%. However, GBC shows a lower reliance on deposits, at 70.6%, as its funding structure includes a higher proportion of wholesale financing from various counterparties such as internationally recognized banks, international financial entities, multilateral institutions and a local public bank.

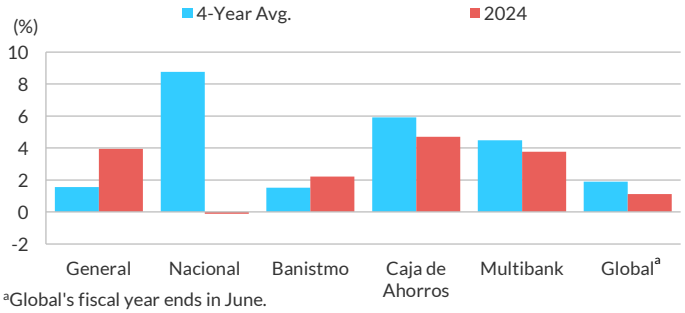
Fitch rates Nacional and General at 'bbb–' for funding and liquidity, highlighting their broad and diversified deposit bases that ensure high and stable liquidity, thereby enhancing their capacity to attract funding resources effectively. In contrast, Caja de Ahorros and Banistmo are rated 'bb+', reflecting their strong reliance on stable customer deposits over time. Meanwhile, GBC and Multibank are rated 'bb', underscoring their diverse funding structures that include significant reliance on wholesale and institutional funding sources, supporting a robust liquidity management framework.

Gross Loans/Customer Deposits Ratio



[a]Global's fiscal year ends in June.
Source: Fitch Ratings

Customer Deposits Growth



[a]Global's fiscal year ends in June.
Source: Fitch Ratings

As of December 2024, customer deposit growth declined for the majority of the peer group compared to the four-year average, excluding Multibank and Global. The national bank experienced a decline due to current deposits; however, it continues to maintain a robust base of deposits and highly liquid assets. If deposit growth in the Panamanian banking sector slows due to lower rates, banks may turn to external institutional funding, which typically incurs higher costs than deposits. Consequently, funding costs could remain elevated for a longer period than previously anticipated.

Issuer	Rating Action Commentary	Rating Report
Bancolombia S.A. (Bancolombia)	Fitch Affirms Bancolombia and Related Entities' Ratings; Outlook Stable (November 2024) Fitch Takes Action on Colombian and Central American Banks Following Colombia's Outlook Revision (March 2025)	Bancolombia S.A. (December 2024)
Banco Davivienda S.A. (Davivienda)	Fitch Takes Actions on Davivienda and Scotiabank following integration announcement (January 2025) Fitch Takes Action on Colombian and Central American Banks Following Colombia's Outlook Revision (March 2025)	Banco Davivienda S.A. (December 2024)
Banco de Bogotá S.A. (Bogotá)	Fitch Affirms Banco De Bogotá and Grupo Aval; Outlook Stable (November 2024) Fitch Takes Action on Colombian and Central American Banks Following Colombia's Outlook Revision (March 2025)	Banco de Bogotá, S.A. (December 2024)
BBVA Colombia S.A. (BBVA Colombia)	Fitch Affirms BBVA Colombia's IDR at 'BBB−'; Outlook Stable (November 2024) Fitch Takes Action on Colombian and Central American Banks Following Colombia's Outlook Revision (March 2025)	BBVA Colombia S.A. (December 2024)
Banco de Occidente S.A. (Occidente)	Fitch Affirms Banco de Occidente and Subsidiaries; Outlook Stable (November 2024) Fitch Takes Action on Colombian and Central American Banks Following Colombia's Outlook Revision (March 2025)	Banco de Occidente (December 2024)
Banco General S.A. (General)	Fitch Affirms Banco General at 'BBB−'; Outlook Stable (May 2025)	Banco General S.A. — Update (November 2024)
Banco Nacional de Panamá (Nacional)	Fitch Affirms Banco Nacional de Panamá's International Rating at 'BB+'; Outlook Stable (May 2025)	Banco Nacional de Panama — Update (November 2024)
Caja de Ahorros (Caja de Ahorros)	Fitch Affirms Caja de Ahorros' IDR at 'BB+'; Outlook Stable (May 2025)	Caja de Ahorros — Update (November 2024)
Banistmo S.A. (Banistmo)	Fitch Affirms Banistmo's IDR at 'BB+'; Outlook Negative (May 2025) Fitch Takes Action on Colombian and Central American Banks Following Colombia's Outlook Revision (March 2025)	Banistmo S.A. — Update (November 2024)
Multibank, Inc. (Multibank)	Fitch Affirms Multibank at 'BB+'; Outlook Negative (May 2025) Fitch Takes Action on Colombian and Central American Banks Following Colombia's Outlook Revision (March 2025)	Multibank, Inc. — Update (November 2024)
Global Bank Corporation (Global)	Fitch Revises Global Bank's LT IDR Outlook to Stable; Affirms IDR at 'BB' (October 2024)	Global Bank Corporation (November 2024)

Source: Fitch Ratings

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